

ECON 0100 | Exercise B5 | Market Changes

Enchanted broomsticks again, with the same demand and supply curves as Exercise B3:

$$P = 16 - \frac{Q_d}{4} \qquad P = 4 + \frac{Q_s}{4}$$

Prices are in galleons and quantity is in broomsticks. The equilibrium you found is 24 broomsticks at 10 galleons.

Q1 | Price Elasticity

- a) Use the midpoint method to find the elasticity of demand when the price changes from 10 to 14 galleons. _____
- b) Is demand elastic, unit elastic, or inelastic in a)?
- c) Use the midpoint method to find the elasticity of demand when the price changes from 2 to 6 galleons. _____
- d) Use the midpoint method to find the elasticity of supply when the price changes from 6 to 10 galleons. _____

Q2 | Supply & Demand Shifters

The Floo Network opened a fireplace connection in every wizarding village, and many witches and wizards stopped flying to work.

- a) The demand curve: *shifted in, stayed the same, shifted out*
- b) The supply curve: *shifted in, stayed the same, shifted out*

Q3 | Comparative Statics

Broom makers suddenly discover an enchantment that lets each workshop finish twice as many broomsticks in a day. On its own, how did this discovery impact the market?

- a) The equilibrium price: *increased, stayed the same, decreased*
- b) The equilibrium quantity: *increased, stayed the same, decreased*

Without using numbers, how have these two changes together (the Floo Network and the enchantment) impacted the broomstick market equilibrium?

- c) Equilibrium price has: *increased, stayed the same, decreased, indeterminate*
- d) Equilibrium quantity has: *increased, stayed the same, decreased, indeterminate*